

FORM No.HCJD/C-121.
ORDER SHEET
IN THE LAHORE HIGH COURT, LAHORE
JUDICIAL DEPARTMENT

Case No. Crl. Appeal No.9528/2024

Muhammad Riaz **Versus** The State & another

S.No.of order/ Proceeding	Date of order/ Proceeding	Order with signature of Judge, and that of parties of counsel, where necessary.
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19.12.2024 Mr. Muhammad Akhter, Advocate for the appellant.
Mr. Hammad Akbar Wallana Special Prosecutor ANF with
Mehmood ul Hassan, Assistant Director/Incharge Police
Station ANF, Sialkot and Muhammad Naeem, M.R.A.-III,
Excise and Taxation Department, Lahore.

Through the instant appeal filed under Section 48 of
the Control of Narcotic Substances Act, 1997 (hereinafter
'CNSA 1997'), the appellant has assailed the vires of
impugned order dated 15.12.2023, passed by the
Additional Sessions Judge/Judge Special Court constituted
under the CNSA 1997, Sialkot (hereinafter '*trial court*');
whereby his application seeking release of car Honda
City bearing registration No.AFV-079, Chassis
No.NFBGM1543LR258480, Engine No.L13Z17537341,
(hereinafter '*the motorcar in question*') in his favour, was
dismissed.

2. Arguments heard and the record perused.
3. Perusal of the record available on the file reflects
that on 02.03.2022 the motorcar in question was
intercepted by the officials of ANF and from possession of
the accused/Bilal Akram, 1013 grams contraband *heroin*

was recovered. In this regard, case FIR No.8/2022, dated 02.03.2022, offence under Section 9(c) of the CNSA 1997, was registered with Police Station ANF Sialkot and the motorcar in question was taken into possession by the Investigating Officer as case property. Subsequently, the case was decided by the trial court vide judgment dated 14.07.2023; whereby the accused was convicted while the motorcar in question was ordered to be handed over to its original owner. Thereafter the appellant moved an application before the trial court for the release of the motorcar in question claiming himself to be the real owner, which was declined.

4. The main thrust of the arguments of learned counsel for the appellant is that the appellant is the real owner of the motorcar in question, which is borne out from the relevant record of the Excise and Taxation Department while there is no rival claimant.

5. To appreciate the contention of learned counsel for the appellant on the last date of hearing viz. 12.12.2024, a report was requisitioned from the Excise and Taxation Department to provide the comprehensive record of the motorcar in question, which has been filed by Motor Registering Authority-III, Lahore. Contents of the said report disclose that initially the motorcar was registered in the name of one Muhammad Anjum Saeed on 27.11.2021 while the same was transferred in the name of the present appellant on 05.04.2022. The perusal of the record reveals that the motorcar in question was taken into possession by the investigating agency on 02.03.2022. When confronted learned counsel for the appellant frankly concedes that the

motorcar in question was transferred in the name of the appellant after registration of the FIR.

6. The transfer of ownership of a vehicle seized in connection with a narcotics case, after it has been declared case property, strongly suggests *mala fide* intent. Such a transfer not only disregards the legal status of the vehicle as evidence in a criminal case but also appears to be a deliberate attempt to frustrate the judicial process. This act raises serious concerns about the *bona fides* of the parties involved, as it undermines the integrity of the investigation and the preservation of evidence. Therefore, the timing and circumstances of the ownership transfer must be scrutinized, as it may constitute an intentional effort to circumvent the due process of law.

7. The Excise and Taxation Department bears a crucial responsibility to uphold the law and must exercise due diligence to prevent being complicit in any illegality, particularly in facilitating the transfer of ownership of vehicles involved in criminal activities. When a vehicle has been seized in connection with a crime and designated as case property, its transfer of ownership is not only improper but also undermines the judicial process. The concerned departments must remain vigilant to ensure that their processes are not exploited to legitimize such transactions, as doing so could inadvertently aid in frustrating the course of justice. By strictly adhering to the legal protocols and verifying the status of such vehicles, the concerned departments can prevent their resources from being misused in a manner that facilitates unlawful acts.

8. The Supreme Court of Pakistan, in Amjad Ali Khan¹, authoritatively addressed the question whether a vehicle seized as case property in a criminal case under the CNSA, 1997, could be transferred and registered in the name of a third party by the authority under the Motor Vehicles Ordinance, 1965 (MVO), prior to the conclusion of the trial and the final disposal or confiscation of the vehicle by the court. It was ruled by the Supreme Court of Pakistan that the transfer of ownership and registration of a vehicle seized as case property in a criminal case is impermissible under the MVO. Such transfers undermine the judicial process and interfere with the court's authority over case property, as the legal title is effectively frozen until the conclusion of the trial. The Supreme Court emphasized that physical verification of vehicles is essential at every stage of registration, including subsequent transfers, to ensure lawful ownership and possession.

9. Furthermore, in paragraph 16 of the Amjad Ali Khan *supra*, the Supreme Court of Pakistan directed the Provincial Governments to consider amending the MVO and its associated rules to prevent the registration of vehicles involved in criminal activities. Furthermore, the Supreme Court recommended that Provincial Governments and the Islamabad Capital Territory (ICT) collaborate with the Motor Registration Authority and the Police to develop an online verification system for identifying vehicles implicated in crimes. It was also suggested that, at the time of vehicle registration, the transferor or transferee be required to obtain a No Objection Certificate (NOC) from the Police or submit

¹ AMJAD ALI KHAN vs. The STATE and others – PLD 2020 Supreme Court 299

an affidavit affirming that the vehicle is not involved in any criminal case. In this case, the registration of the vehicle in favor of the appellant was unlawful as clear directions of the Supreme Court have been disregarded by the Excise and Taxation Department. Under Article 190 of the Constitution of The Islamic Republic of Pakistan, 1973, every state functionary is constitutionally bound to comply with the orders of the Supreme Court of Pakistan. In the aforementioned facts and circumstances the matter is hereby referred back to the Motor Registration Authority for corrective action under the law.

10. To uphold the sanctity of the judicial process, the Excise and Taxation authorities are hereby directed to refrain from transferring the ownership of any vehicle implicated in a criminal case or classified as case property. This direction is essential to preserve the administration of justice and to prevent any tampering with or compromise of crucial evidence. The authorities must exercise stringent diligence, including a thorough verification of the vehicle's status, and must mandate the submission of a NOC from the Police or an affidavit affirming the vehicle's un-involvement in criminal proceedings, before initiating any ownership transfer. The matter shall be referred to the Secretary, Excise, Taxation, and Narcotics Control Department, Government of Punjab, and the Provincial Police Officer, Punjab to ensure strict compliance with the directions issued by the Supreme Court in the case Amjad Ali Khan *supra*. It is hereby explicitly made clear that any lapse or negligence in this regard shall not be condoned in the future.

11. For the foregoing reasons, the instant appeal is squarely devoid of any merits, which is accordingly **dismissed**. Copy of this order shall be sent to the concerned authorities for due compliance.

(FAROOQ HAIDER)
JUDGE

(ALI ZIA BAJWA)
JUDGE

Approved for Reporting

JUDGE

JUDGE

The order was pronounced & dictated on 19.12.2024 and after completion it was signed on **31.12.2024**.

Riaz